

Bhansali Engineering Polymers Ltd

Concall Tracker · Q1 2027 · NSE/BSE: BEPL · Report date: 24 Jul 2026

Engineering plastics (ABS/SAN resins)

Small-cap

Debt-free

NO-CONCALL → web deep-dive

1. Snapshot

What the business does: Bhansali Engineering Polymers (BEPL) makes **ABS** (Acrylonitrile Butadiene Styrene) and **SAN** (Styrene Acrylonitrile) resins — hard, mouldable engineering plastics that go into car interiors and dashboards, home appliances (fridges, washing machines), electronics, healthcare and kitchenware. It earns money by buying petrochemical raw materials, polymerising them into resin at its two plants (Abu Road, Rajasthan; Satnoor, Madhya Pradesh) and selling to manufacturers. It is one of only **two domestic ABS makers in India** (the other is INEOS Styrolution) — together roughly a 75% share of local production, an effective **duopoly**, with imports still meeting 30–40% of Indian demand. ABS is ~92% of revenue; a 50:50 JV with Japan's **Nippon A&L** supplies technology for higher-value specialty grades.

Metric	Value	Plain-English read
Market cap	₹3,035 cr	Total value the market puts on the company — a small-cap.
Share price / P/E	₹122 / 15.3x	You pay ~₹15 for every ₹1 of yearly profit — modest for a debt-free, high-return maker.
FY26 revenue (Mar 2026)	₹1,276 cr	Total sales for the year — down ~9% from FY25's ₹1,398 cr as ABS prices/spreads softened.
FY26 net profit	₹180 cr	Final profit after all costs — flat vs FY25, so profit held even as sales dipped.
Operating margin (FY26)	17%	₹17 of every ₹100 of sales is operating profit — healthy for a commodity resin maker.
ROCE / ROE	23.8% / 17.3%	Strong return on the money employed — the business earns well on its capital.
Debt / Dividend yield	Nil / 3.28%	Zero borrowings; pays out a chunky dividend (~55% of profit) — cash-rich and shareholder-friendly.
Promoter holding	57.48%	Promoters own a majority and have held it steady — skin in the game, no selling.

Note the cycle: FY21–FY22 profits spiked (operating margin 33–35%) on a one-off global ABS price surge, then normalised. Earnings here swing with ABS spreads — this is a commodity-linked business, not a smooth compounder.

2. Concall coverage

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

BEPL does not host regular quarterly earnings calls, and Screener held no transcript PDFs. The analysis below draws on the company's exchange filings, results press releases, capacity-expansion announcements and credible trade/financial news over FY22–Q1 FY27. Sources used:

- Q1 FY27 (Jun 2026) results coverage — EquityBulls, Indian Chemical News, Business Standard, MarketScreener, Multibagg
- FY26 results, dividend & expansion-timeline confirmation — Whalesbook, TipRanks/Globe & Mail, Indian Chemical News
- Capacity-expansion history (200,000 TPA plan & delays) — Indian Chemical News, ProjectsToday, ChemAnalyst, EquityBulls
- Business/JV background — Plastemart (Nippon A&L JV), Sana Securities (duopoly), Screener financial tables

Latest update highlights — Q1 FY27 (quarter ended 30 Jun 2026)

- **Record quarter.** Revenue from operations **₹472 cr, up ~53% year-on-year** (from ~₹308 cr) and up ~38% on the prior quarter — the highest quarterly sales the company has posted. Plain read: demand for its resin jumped sharply.
- **Profit up strongly.** Net profit **₹65.6 cr, +42.9% YoY**; operating profit (EBITDA) **₹92.3 cr, +44.5%**. Plain read: the extra sales flowed through to the bottom line, though margins compressed slightly (operating margin ~17–19% vs ~21% a year earlier) as input costs rose in step.
- **Growth was volume-led.** Reports point to higher volumes plus firmer realisations, not just price — consistent with the plants running near full and pulling in demand ahead of the new capacity.
- **Expansion "nears".** Management reaffirmed the ₹200 cr debottlenecking at Abu Road to lift ABS capacity **75,000 → 100,000 tonnes/year, commissioning targeted September 2026**, fully self-funded, staying debt-free. First interim dividend of ₹24.9 cr declared.
- **Tone:** Confident but measured — CFO Jayesh Bhansali stressed "resilience," "cost leadership" and financial flexibility "despite geopolitical uncertainties."

Business mix & capacity

- **Product mix:** ABS ~92% of revenue, SAN ~2%, trading ~6% (last disclosed) — the company lives and dies by ABS resin.
- **Domestic vs export split:** *Not separately broken out* by the company; the business is predominantly **domestic** — its whole thesis is substituting the 30–40% of Indian ABS demand currently met by imports.
- **Capacity & utilization:** Current ABS capacity ~75,000 TPA; the Q1 FY27 revenue surge implies plants are running hard (near full), which is exactly why the debottlenecking to 100,000 TPA (Sep 2026, +33%) is being pushed. Full utilization of the new capacity is guided only by **FY28**.

3. Earning Trigger thesis ★

The core driver management keeps pointing to is a **33% capacity step-up (75,000 → 100,000 tonnes/year) by September 2026**, funded entirely from internal cash with **no new debt**, feeding into a structural **import-substitution** opportunity: 30–40% of India's ABS is still imported, BEPL sits in a domestic duopoly, and the Nippon A&L JV is meant to move the mix toward higher-margin specialty/colour grades. The Q1 FY27 volume surge is early evidence that domestic demand can absorb the extra tonnes. The catch: ABS is a commodity, earnings swing with spreads, and the new capacity is a one-time step-up that won't fully contribute until FY28.

Trigger	What management said	Evidence so far	Time horizon	Strength
Capacity 75k→100k TPA	₹200 cr debottlenecking at Abu Road, self-funded, commissioning Sep 2026; full ramp FY28.	Reaffirmed on schedule through FY26 and Q1 FY27; capex from internal accruals, still debt-free.	Commission Sep 2026; earnings impact FY27–FY28.	Moderate — concrete & funded, but not yet live or ramped.
Import substitution / duopoly	Capture share from the 30–40% of demand met by imports; anti-dumping duties as a tailwind.	Q1 FY27 volumes +53% YoY suggests demand pull is real; duopoly intact.	Multi-year, structural.	Strong structural setup — but capped by available capacity until Sep 2026.
	Move mix to higher-value ABS/AES/ASA specialty	JV exists and is referenced; hard	Gradual.	Unproven — direction is right,

Specialty grades via Nippon A&L JV	and colour grades to lift margins.	financial proof of a margin uplift is thin.		quantified impact not yet visible.
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4. Management Consistency scorecard

The promised-vs-delivered record on the expansion is **mixed** — the headline promise slipped badly and shrank, but the revised, more realistic plan has been steady and the balance sheet discipline has never wavered.

Period	What was promised	What actually happened	Verdict
FY22 (early)	Lift capacity to 200,000 TPA by Dec 2024 (huge ~2.7x jump), with Japanese technology input.	Omicron blocked travel to Japan; FEED handed to Toyo Engineering; timeline slipped to "before Mar 2025," then the near-term scope was cut.	Missed / Dropped (the 200k / Dec-2024 target)
FY22	Debottleneck 65,000 → 75,000 TPA with no capex.	Delivered — effective 1 Apr 2022, no capital spent.	Delivered
FY25–FY26	Revised, scaled-down plan: 75,000 → 100,000 TPA by Sep 2026 , ₹200 cr, self-funded.	Reaffirmed on schedule at FY26 results and again in Q1 FY27; funding from internal accruals, still debt-free.	On-track / Too-early (commissioning still ahead)
Ongoing	Stay debt-free and reward shareholders.	Zero borrowings for years; ~55% dividend payout; 3.28% yield.	Delivered

Narrative drift: There has been real drift on the flagship promise. The bold **200,000 TPA by December 2024** plan was pushed out repeatedly (COVID/travel, engineering rework) and then quietly reframed into a far more modest **100,000 TPA by September 2026** debottlenecking — a materially smaller ambition than first sold. On the positive side, once reset, management has stuck to the revised numbers and date for over a year, self-funded it, kept the company debt-free and dividends generous. So the record is one of an over-promised big vision that shrank, now replaced by a credible, consistently-repeated smaller plan — steady execution on a diminished goal.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, concrete, still-live driver — a fully-funded 33% capacity increase landing September 2026 into a structural import-substitution gap, backed by a domestic duopoly and a specialty-grade JV, with Q1 FY27's record volumes showing demand is there. But it stops short of a clean YES: ABS is a commodity where earnings swing with spreads (FY26 revenue actually fell year-on-year before the Q1 FY27 bounce), the capacity is a one-time step-up rather than a compounding engine, and it won't fully contribute until FY28. Concrete but cyclical and not yet proven in the numbers.

Management consistent? → MAYBE

Mixed record. The original 200,000-tonne/Dec-2024 promise slipped repeatedly and was downsized to a 100,000-tonne/Sep-2026 plan — genuine story drift on the flagship item. Offsetting that, management has held firmly to the revised plan and date for over a year, funded it from internal cash, kept the company debt-free and maintained a ~55% dividend payout with stable promoter holding. Disciplined and reliable on the balance sheet and shareholder returns; over-promised and had to reset on the big capacity vision. That balance is a MAYBE, not a YES.

Sources: Screener.in financial tables; EquityBulls, Indian Chemical News, Business Standard, MarketScreener, Multibagg, Whalesbook, TipRanks, ProjectsToday, ChemAnalyst, Plastemart, Sana Securities (FY22–Q1 FY27 filings, results releases and expansion announcements). No concall transcripts were available on Screener; this is a global web deep-dive. — **This is not investment advice. Do your own due diligence.**